12 Opening Decisions, Solved

Bonus to the “How to Open a Pastry Shop” pack · built on the data in the eight Excel tools

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Twelve decisions you have to make before you open a pastry shop, and that almost never get settled with a single number: buy the blast chiller or wait, open with twenty items or forty, take your first First Communion cake order with no track record, start legally from home, sign your first wholesale account. Each one comes with its context, its options, the criterion you decide by, the cell in the pack that settles it and the rule that applies when there is one (the US rule, checked against official sources in October 2026, as in the guide). There isn't a single made-up figure: every number comes from a cell you can open and check.

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1. Shop with Its Own Kitchen or a Separate Production Kitchen

The Context of the Decision

You're going to look for a space for your pastry shop, and you'll run into the same paradox every time. The space you like, the one with a storefront window and people walking past, almost never has the square footage to fit a decent production kitchen in the back. And the space with square feet to spare is usually on a street nobody walks down, where a window does nobody any good. You end up trading floor area against visibility, and that trade has a cost almost nobody works into the numbers before signing: the part of the space given over to the production kitchen doesn't sell a single cake, and you pay the same rent for those square feet as for the ones behind the window. If your space rents at the case's $1.24 per square foot a month (about $15 a year, the way US listings usually quote it), the production kitchen costs you $1.24 a square foot just like the display case does, even though nobody can be seen walking into it from the street. That rent is the case's, and it sits well below the $24.79 per square foot a year that CBRE reported as the national average asking rent for retail space in the second quarter of 2026, so put in your own.

The Options on the Table

With that starting point, there are three roads, not two.

- **Option A**, everything in one space: the front counter up front, with the window and the display case, and the production kitchen taking up the back, closed to the public.
- **Option B**, split the two pieces: a closed-door production kitchen in a cheaper part of town, with no storefront and no need for foot traffic, and a small counter shop in a busy spot that receives the product already finished.
- **Option C**, start without a production kitchen of your own: buy finished product from a third party and give the whole space over to sales.

What changes among them isn't just the square footage. The startup cost changes; the total rent you'll pay each month changes, adding up two spaces or one; whether you need daily transport between the kitchen and the counter changes (a van, a delivery schedule, a cold chain on the road); and how you're permitted changes once the counter becomes a second site supplied by a central kitchen. And there's a second filter that isn't about money but about the product: without your own production kitchen you can't truthfully put “made from scratch in our kitchen” on your window or your labels. If that's exactly your selling point, option C takes it away from you before you start. (There's also a lighter version of option B that's common in the US: renting hours in a licensed commissary or shared kitchen, which WebstaurantStore puts at $250 to $750 a month; chapter 1 of the guide covers it.)

The Criterion You Decide By

The rule here, as in the rest of this bonus's decisions, is easy to state and easy to skip: you compare total cost over several years, not the monthly rent on the first lease. A space that costs more a month but holds the kitchen and the counter under one roof can come out cheaper than two separate leases as soon as you add up the daily transport and your people's time going back and forth between the two.

And before you compare anything, there's a first filter that rules out option A on its own: if the square footage you're looking at can't fit the seven zones of the production kitchen with a one-way flow (that is, without the product doubling back across its own path between receiving, production, packing and dispatch), option A simply doesn't exist for that space, however much you love the window. It isn't a

matter of taste; it's whether the workflow works.

Every decision in this bonus closes the same way: with an explicit recommendation and the condition that would make you change it. Here the default recommendation is option A when the space allows it, because it creates the least day-to-day friction; it switches to option B as soon as the space with enough room is on a street with no foot traffic and the rent you save by splitting into two spaces covers the cost of transport; and it switches to option C only if you're not going to sell “made from scratch” as your selling point.

The Cell That Settles It

The "Format Variant" sheet in startup-cost-calculator.xlsx gives you the figure for each road with your own numbers plugged in. In the core case the calculator ships with, putting a production kitchen and a shop in one space needs an opening investment of $165,800; the closed-door production kitchen, with no counter, needs $70,585; and the counter shop with no kitchen of its own, buying finished product, needs $57,948. The "Zones and Square Feet" sheet in kitchen-capacity-and-site.xlsx is the one that tells you whether your actual square footage fits the seven zones: in the modeled case, the space is 969 square feet in all and the production kitchen takes 484 of them, half the space, 50% of the floor area.

If you end up choosing option B (a central production kitchen and a counter shop as a second site), the "Which Permit Do I Need" sheet in permits-and-licenses-checklist.xlsx tells you what to ask your agency about each of the two, because they don't go through the process the same way.

For contrast with the pack's figures, third-party estimates put a small retail bakery at $50,000 to $100,000 and up (Zenind, 2026). It's an estimate with no line-by-line breakdown you can check, not industry data, and that's why it's cited that way; the case lands above it because it prices a full production kitchen and its display cases line by line.

The Rule That Applies, When There Is One

Here there is a rule, and it's worth having it straight before you sign any lease. What makes option B workable in the US is the FDA test that decides who has to register a food facility. A retail food establishment doesn't register (21 CFR 1.226(c)) as long as more than half of its food sales, by value, go directly to consumers, and “consumers” doesn't include businesses (21 CFR 1.227; checked in October 2026). Your own counter isn't a business you sell to, so on a plain reading what your production kitchen bakes and then sells over your own counter reaches consumers and doesn't add to the wholesale side of that line. One caution, the same one chapter 9 of the guide makes: FDA applies its test establishment by establishment, and we didn't find the rule's text spelling out how it treats a production kitchen in a separate building that sells only through its owner's own shops. If that's your plan, put the question to FDA or a food attorney before you sign for the space.

That good news doesn't spare you the paperwork. We found no US category that bundles a central kitchen and its shops into a single unit: the food permit is issued after plan review and the pre-opening inspection (Food Code 8-201.11 and Part 8-3), and both look at a physical place, so with option B expect two plan reviews and two inspections, and ask your agency whether each site needs its own permit and how it treats food you bake at one site and sell at the other (that's the third question on the "Which Permit Do I Need" sheet). Keep three conditions in view for the setup to hold: the same owner across the kitchen and the shop, the cold chain between them at 41 °F or below for TCS items (Food Code 3-501.16), and the written allergen notice at the counter that sells unpackaged product (3-602.12(C)). In New York, the Article 20-C license already names wholesale and retail in-store bakery operations; in Florida, ask FDACS whether supplying several shops calls for its Wholesale/Manufactured Food Establishment Permit.

And if you're toying with the idea of a production kitchen alone, with no counter, keep the 50% line from that same rule in view: once more than half of your food sales by value go to cafés, restaurants or stores owned by someone else instead of to consumers, you're no longer a retail food establishment in the FDA's eyes and you generally have to register your facility (21 CFR 1.226 and 1.227). The "Selling Wholesale" sheet seeds a cautious working line of 25%, our own, not the law's, so you see the legal 50% coming long before you reach it, and decision 7 of this bonus works through your first wholesale account. For scale, third-party estimates put a production bakery at $75,000 to $150,000 and up (Zenind, 2026), against the case's $70,585 for a closed-door kitchen.

What it costs to open each format (startup-cost-calculator.xlsx, "Format Variant" sheet)

Format	Opening investment ($)	With working capital ($)	What else changes
Mid-size pastry shop: its own production kitchen and a front counter on the street (this guide's case)	$165,800	$227,916	It's the core case: every coefficient is 1.00, so the opening investment is exactly the total on the "Startup Costs by Block" sheet minus working capital, and the next column adds it back to give the total.
Home-based bakery under cottage food, selling direct to customers	$14,966	$27,389	It isn't a storefront: it's your home, under your state's cottage food law, with its list of allowed foods and its sales cap. A registration, a permit or nothing at all, depending on the state. No build-out, no storefront and no lease deposit; the "Cottage Food Route" sheet in permits-and-licenses-checklist.xlsx is the one that rules.
Closed-door production kitchen, no retail counter	$70,585	$101,643	No display case or retail fixtures, but the 50% line hangs over you: once more than half of your food sales by value go to businesses rather than consumers, you're no longer exempt from FDA food facility registration. The "Selling Wholesale" sheet in permits-and-licenses-checklist.xlsx walks you through it.
Storefront with a counter but no kitchen of its own	$57,948	$95,217	You buy finished or par-baked product: almost all the production equipment goes and the display case stays whole. If you don't bake from scratch, don't say you do: “baked fresh daily” on product you only thaw and finish is a misleading-claim risk (FD&C Act §403(a)).

Format	Opening investment ($)	With working capital ($)	What else changes
Bakery-café with its own kitchen	$200,732	$275,270	Adds seating, a coffee bar, an espresso machine and customer restrooms. The moment people eat at your tables, two things change: sales tax (pastries to go are generally exempt in the four example states; what's eaten on site generally isn't) and, in New York and Florida, the agency that permits you.

The coefficients behind each format are model ASSUMPTIONS: they're for comparing formats with each other, not a budget.

2. Buy the Blast Chiller Now or Wait

The Context of the Decision

The blast chiller is the most expensive single purchase in the production kitchen, and that's exactly why it's the first one to fall off the budget when the numbers don't work. When it's time to cut, nobody cuts the walk-in or the oven: they cut the blast chiller, because it looks like something you can live without for a while.

The line you always hear at this stage is the same: “I'll make less product the first year and buy it later.” It sounds reasonable, but it hides the real question, which isn't whether you can open without a blast chiller but how much production ceiling you're buying with that sentence. A business doesn't grow in a vacuum: it grows as far as the equipment that limits it allows, and if that equipment is the blast chiller, the business won't break through that ceiling no matter how hard you push.

The Options on the Table

There are three roads, and you have to look at all three with the same workbook before you decide:

- Option A: buy it on day one, with the capacity that matches the assortment you want to offer from the start.
- Option B: open without one and limit the assortment to what doesn't need to go through a blast chiller, putting off the purchase until sales can carry it on their own.
- Option C: buy one with fewer trays (a scaled-down version) and trade it in for a bigger one when the business itself asks for it.

All three are legitimate. What isn't legitimate is choosing without knowing what you give up with each one, because the blast chiller isn't a nice-to-have for a showpiece kitchen: it's the piece of equipment that decides how many custom cake orders you can take and how far ahead you can get before a big peak.

The Criterion You Decide By

Three things change among the three options: the pieces a day the kitchen's equipment as a whole can turn out, the share of the assortment that depends on going through the blast chiller, and the capacity you have available at peak time, when everybody orders at once.

The rule isn't to look at the most expensive piece of equipment; it's to look at the one that limits you. The "Capacity by Equipment" sheet gives you the pieces a day each machine in the kitchen allows on its own, and the "Bottleneck" sheet tells you which of them calls the shots and with how much room to spare. In the modeled case, the blast chiller allows 480 pieces a day, and that same number, 480, is what sets the ceiling for the whole kitchen: the blast chiller is exactly the bottleneck. The cushion over a normal day is just 4 pieces, and the next-tightest piece of equipment in the kitchen handles 1,036 pieces a day, more than twice as many. There's no contest: if the blast chiller is your kitchen's bottleneck, buying it small isn't saving money, it's setting the ceiling for the whole business, while the rest of the equipment sits waiting for work that will never reach it.

And there's a second criterion, the peak-season one, that weighs as much as the first: without a blast chiller you can't produce ahead, and without producing ahead the big peak (the one that piles up orders all at once) doesn't fit into the hours of a single kitchen day. The blast chiller is what lets you work today to serve three days from now without the product losing quality along the way; without it, every big peak catches you baking in real time, which is the worst way to bake.

With these numbers, the recommendation is clear for anyone planning an assortment where 40% goes through the blast chiller: buy it on day one, with capacity to spare, not sized to the limit. The condition that would change this recommendation is an assortment that brings that 40% down, with no peak-season order that depends on producing ahead; in that case, and only in that case, option C, a smaller one to grow out of later, becomes defensible.

The Cell That Settles It

The three numbers that settle this decision are on the "Capacity by Equipment" and "Bottleneck" sheets, both in kitchen-capacity-and-site.xlsx: the pieces a day each piece of equipment allows, the share of the assortment that goes through the blast chiller, and which machine calls the shots, with its cushion. And the amount you weigh that decision against the budget with is on the "Startup Costs by Block" sheet of startup-cost-calculator.xlsx, where the blast chiller shows up with its price and the column that says whether that price includes sales tax: $10,037 before sales tax, the case's example price, anchored on a four-tray Irinox from the MultiFresh line in a European dealer's listing (about $10,865 at Texas's maximum combined sales tax rate of 8.25%, and in the US that tax is a cost you don't get back). For a sense of the US range, in October 2026 WebstaurantStore listed reach-in blast chillers at $5,499 (Avantco SF-10) and $21,729 (Irinox MultiFresh Next S). Change the blast chiller's trays per cycle on the "Capacity by Equipment" sheet and the whole kitchen's pieces a day recalculate on the spot, so before you decide, it's worth moving that number and watching where the bottleneck goes.

The Rule That Applies, When There Is One

Here there is a rule, and it bites harder than it looks: cooked TCS food, such as pastry cream or a custard base, has to cool from 135 °F to 70 °F within 2 hours and down to 41 °F within a total of 6 hours (Food Code 3-501.14; checked in October 2026). That rules out a household chest freezer as a stand-in for a blast chiller from the start: it gets cold, but not that fast with a full, warm batch inside, and it usually isn't certified to NSF/ANSI standards either, which is the simple way to show your inspector a piece of equipment complies (4-205.10). A chest freezer or a reach-in freezer running at 0 °F holds what's already been chilled or frozen; it doesn't do the pull-down for you.

And what comes out of that process gets a label, with no exceptions in your house: the date it was made and the date it went into the freezer. It's the cheapest record you'll keep, and it's what keeps your date marking honest, since ready-to-eat TCS food held refrigerated for more than 24 hours has to be date-marked and can be held at 41 °F or below for no more than 7 days, with the day it was made counting as day one (Food Code 3-501.17). And if your display case holds product you know was frozen and thawed, don't present it as fresh: that's a misleading-claim risk under the general ban on false or misleading labeling (FD&C Act §403(a)), as decision 4 explains.

What each piece of kitchen equipment allows, and which one limits you (kitchen-capacity-and-site.xlsx, "Capacity by Equipment" sheet)

Equipment	Category	Have it?	Share of the assortment that goes through it (%)	Kitchen pieces per day it allows
Spiral mixer, 25 kg (55 lb) of dough	Mixing	Yes	55%	11,582
Planetary mixer, 20 qt	Mixing	Yes	30%	8,533
Automatic dough sheeter, up to 16 in wide	Sheeting	Yes	25%	4,800

Equipment	Category	Have it?	Share of the assortment that goes through it (%)	Kitchen pieces per day it allows
Convection oven, 6 trays	Heat	Yes	60%	1,920
Convection oven, 4 trays	Heat	Yes	25%	3,072
Retarder-proofer (roll-in)	Refrigeration	Yes	35%	1,543
Blast chiller, 4 trays	Freezing	Yes	40%	480
Walk-in cooler, 8 m³ (about 283 cu ft)	Refrigeration	Yes	45%	1,244
Refrigerated bakery display case	Storefront and display	Yes	35%	1,036
Modular deck oven	Heat	No	20%	3,080

The capacities are modeling ASSUMPTIONS calibrated with dealer spec sheets. Swap them for those of the equipment you're actually going to buy.

3. Open with Twenty Items or Forty

The Context of the Decision

In year one the temptation is always the same: open with the biggest menu you can so you don't miss a single sale. It looks like the cautious choice and it's exactly the opposite: it's the fastest way to multiply waste and blow up your purchasing. Every new item isn't just one more tag in the display case; it's one more supplier to manage, a minimum order you take on whether or not you sell it all, a slot in the case you take away from a piece that does turn over, and kitchen time you pay for even if that item barely sells. That fixed cost per item is invisible on paper and very visible on your P&L three months in.

And here's a figure to see how far sales can concentrate in a handful of items: at one well-known European pastry shop, the example in chapter 3 of the guide (with its source), a single item, a croissant selling roughly 3,000 units a week, brings in close to 30% of the shop's total sales. You don't need to get anywhere near that scale to learn the lesson: a short menu that sells a lot of a few things usually earns more than a long one that spreads its sales across thirty items that barely turn over.

The Options on the Table

There are three ways to approach the opening assortment:

- **Option A**: open with a short menu and expand it with real data after three months, when you already know what turns over and what sits in the case until closing.
- **Option B**: open with the full menu you had in mind and prune it later, when waste and purchasing have already taught you what's surplus.
- **Option C**: a short core menu you don't touch, plus a seasonal rotation that brings variety without cluttering the core of the assortment.

What changes among the three isn't how good your window looks on opening day, but four very concrete things: the waste you'll generate while you learn what each item sells, the opening purchase of ingredients and packaging you have to finance before you ring up a single sale, the kitchen workload at launch (when the team still hasn't found its rhythm), and how clear your display case is, because with too many items it stops saying anything, and with a few well-chosen ones it sells on its own.

The Criterion You Decide By

The rule isn't gut feeling or a personal taste for having a bit of everything: the margin weighted by the mix rules, not the margin of the single piece. An item with a great margin that barely sells contributes less to the day's result than one with an average margin that turns over constantly. Deciding item by item on gross margin without looking at how much each one weighs in real sales is the most common mistake when putting together an opening menu.

The second criterion is capacity, and it gets forgotten more than it should: the menu has to fit into the pieces a day your kitchen's bottleneck allows, not just into the physical space of the display case. A menu that fits on the counter but not into the production of the team you're going to hire turns into orders you can't fill or shifts that stretch on until the whole system breaks.

The Cell That Settles It

The "Menu Decision" sheet in opening-menu-and-recipe-costing.xlsx gives the verdict for each item and the weighted margin each group brings in. In the case worked through in this bonus, the screen leaves 27 items with a Keep verdict, 1 with Review price and 2 with Drop. The weighted margin of the items you keep is $1.03, against $0.03 for the ones you drop: the difference isn't subtle, it's what separates a menu

that holds up the business from one that drags it down. The average contribution margin per piece across the whole menu comes to $1.07.

The "Mix and Average Ticket" sheet, in the same workbook, tells you how the ticket changes when you shift the mix between groups: it's the one to look at before deciding whether it's worth keeping a borderline item because it pushes the ticket up, or whether it simply doesn't pay. The recommendation, with these numbers in front of you, is clear: drop the two flagged items and review the price of the third before opening; the condition that would change it is that third item proving, with real turnover data after the first few months, a mix strong enough to earn its slot in the case despite its tight margin.

The Rule That Applies, When There Is One

Here no rule decides how many items your menu should have: it's a business and production-capacity decision, not a legal requirement, and it's worth saying that plainly instead of filling the gap with decorative regulations.

What does apply, item by item, is something else. Before you put any new piece in the case, you need its allergen information settled, because the Food Code asks the permit holder to tell customers in writing which major food allergens are in unpackaged food (3-602.12(C); nine in the US since sesame joined the list on January 1, 2023; checked in October 2026), and you need to have decided whether it goes in the refrigerated case or the room-temperature one, which depends on whether it's a TCS item held at 41 °F or below (3-501.16; the "Egg & TCS Decision" sheet works it out item by item). Every new item you add to the menu is one more row in both, not just one more slot in the case. If you package it yourself in the shop, it also needs the full label: common name, ingredients by weight, net quantity, your name and address and the source of each major allergen (3-602.11(B)). And if one of your custom cakes takes liqueur, it's an ingredient like any other: it goes on the ingredient list of anything you package, and it's worth mentioning when you take the order. Your inspector enforces your state's adopted edition of the Food Code, so check which one applies to you.

How the menu looks after the margin-and-turnover screen (opening-menu-and-recipe-costing.xlsx, "Menu Decision" sheet)

Group	Items	Weighted margin ($)
Items with a Keep verdict	27	$1.03
Items with a Review price verdict	1	$0.01
Items with a Drop verdict	2	$0.03

The weighted margin measures what each group contributes to the margin of an average piece sold with the planned mix: the three rows add up to $1.07, the average contribution margin per piece. Dropping two items with a low weighted margin barely shows at the register, and it does show in your purchasing. Spread across the thirty items, the average weighted margin per item is $0.04.

4. Third-Party Products at Launch: When It Works and What You Can't Claim

The Context of the Decision

Buying finished product in year one is the fastest way to open with a broad menu on a small investment, and there's nothing shoddy about it: whole formats in this trade work that way from day one, with a full display case and no production kitchen behind it. The problem is that almost nobody realizes this decision doesn't stay in the back room: it affects what you can write on your own window, and that falls under the rules on false or misleading claims, not under advertising style. Whoever buys in without reading this fine print ends up, months later, with a sign they have to change, or with a complaint that changes it for them.

The Options on the Table

There are three roads on the table, and it's worth naming them this plainly before you look at the numbers:

- Option A: everything made from scratch from day one. A full production kitchen, a trained team and a high investment from the first month.
- Option B: your own core, plus bought-in extras. You make what defines you as a business and buy the rest to fill out the display case.
- Option C: buy frozen or par-baked product and bake it off in the shop. You finish another manufacturer's product; the kitchen shrinks to the minimum needed to finish the bake.

What changes among the three isn't only how what you sell tastes: the equipment investment changes, the margin per piece changes, the kitchen workload your team has to carry changes, and so does the claim you can make on your window and your labels. Those are four different variables, and the three options move them in different directions.

The Criterion You Decide By

The first criterion is about numbers, and the rule never changes: you compare the margin per piece of your own product against the bought-in one, counting labor in the cost, not just ingredients. The result often surprises, because the bought-in product leaves more dollars per piece and less to set you apart from the shop next door: it's more profitable per unit and, at the same time, easier for any competitor buying from the same supplier to copy.

The second criterion isn't about cost, it's about positioning, and it weighs as much as the first: if the argument you sell your business on is making it yourself, buying finished product eats it. No margin makes up for telling the customer a production-kitchen story and quietly serving them someone else's tray.

For the first criterion, the "Labor Cost per Hour" sheet in opening-menu-and-recipe-costing.xlsx gives you the total cost per unit of each item you make, with labor already in it, which is exactly the figure to compare with the purchase price of a product someone else made. In the butter croissant worked through in chapter 12 of the guide, the total cost per unit is $1.06, of which $0.82 is labor, more than three-quarters of the piece's cost (across the whole menu, labor is 63.3% of total production cost). Leave that component out when you compare against a purchase price and the math is wrong from the start.

For the second criterion, the reference is one you already know from the equipment workbook: the small bake-off shop variant needs $22,456 of equipment, against $66,980 for the base case with a production

kitchen, and $85,997 of full opening investment, build-out and permits included, against the base case's $165,800. The "Format Variant" sheet in equipment-and-suppliers-checklist.xlsx tells you, line by line, which equipment you no longer need in each format, and that's where you see clearly how much setting up a production kitchen really weighs against setting up just a bake-off station: the difference between the two figures is the investment you're buying (or not buying) in the ability to make product, not just in square footage. The kitchen hour, when that kitchen exists, costs $17.94.

Recommendation: if your selling point is making it yourself, option A, or at most B; if your selling point is something else (location, hours, price) and the "Labor Cost per Hour" sheet comes out better with bought-in product, option C is defensible. That changes the moment you add a second item with a recipe of your own that matters to the customer: then you redo the math piece by piece, not in one go for the whole menu.

The Cell That Settles It

The two sheets that settle this decision are the same ones you've already used to build the menu and the equipment list: the "Labor Cost per Hour" sheet in opening-menu-and-recipe-costing.xlsx, which gives you the total cost per unit with labor included, and the "Format Variant" sheet in equipment-and-suppliers-checklist.xlsx, which tells you how much investment you save (or how much production capacity you give up) depending on the format you choose. You don't need a new sheet: it's a matter of crossing what you've already calculated for your menu with the equipment variant you're weighing.

The Rule That Applies, When There Is One

Here there is a rule, and it's what explains why this decision weighs more than it seems. We found no federal definition of “made from scratch”, “homemade” or “baked here” when we checked in October 2026, and nobody makes you use them: they're voluntary. But what you put on a sign, a label or your website is held to the general ban on false or misleading labeling (FD&C Act §403(a)), and the federal rule on the word “fresh” (21 CFR 101.95) only covers it when it suggests the food is unprocessed; every other use of “fresh” falls under that same general ban.

The practical consequence is direct: if your product comes in frozen from outside and your kitchen just thaws and bakes it, that doesn't entitle you to say “made from scratch”, even if it comes out hot and smells freshly baked, and “baked fresh daily” on product you only thaw and finish is a misleading-claim risk, not a slogan. Putting it up anyway isn't the sign painter's creative license: it's misleading the customer who reads it in your window. Say what you actually do. The table below sums up, format by format, what you can write depending on what really happens behind your counter.

What you can write in your window, depending on what you actually do

What you do	Can you say “MADE FROM SCRATCH”?	Where you can use it
You make the whole piece in your production kitchen	Yes, if you want: it's voluntary	At your counter, on your labels and on your website
You make the base and buy in the filling or the topping	It depends on what the customer would take it to mean: you have to be able to back it up, or say exactly what's yours (“our own croissant dough”)	Same as above, worded to match
You buy frozen product from another manufacturer and bake it off	No: baking off someone else's product isn't making it, and “baked fresh daily” on thawed product is a misleading-claim risk	Not applicable: say what you do

What you do	Can you say “MADE FROM SCRATCH”?	Where you can use it
You buy finished product and cut it into portions or package it	No: cutting or packaging someone else's product isn't making it (and what you package in the shop needs the full label, 3-602.11(B))	Not applicable
You make it in your central production kitchen and sell it in your own shop	Yes: “made from scratch in our kitchen” is true; “baked here” is true only at the site that bakes	At the central kitchen and at every shop you own, worded for each one
You make it for a shop or café owned by someone else	That shop can't claim it makes it	Only you, at your own counters

Checked in October 2026 against FD&C Act §403(a) and 21 CFR 101.95. We found no federal definition of “made from scratch”: the claim is free and voluntary, nobody makes you use it, but if you use it, it has to be true.

5. How Many Roscas de Reyes to Bake in Year One

The Context of the Decision

The Rosca de Reyes (Three Kings bread) packs a huge share of the year's sales into a handful of days, and in year one you size it blind: you have no sales history of your own to go on, so any quota you set is a bet. Bake too few and you leave sales on the sidewalk on the very day the most people walk through your door; bake too many and your star product turns into waste on the afternoon of January 6, just when there's nobody left to sell it to. It isn't a margin you can correct halfway through the campaign: by the time you see you've come up short, the peak is over.

And the size of the jump isn't small. Matias, the Mallorca baker you met in chapters 13 to 15 of the guide, describes it from inside the trade in an interview published in Spain on November 21, 2025: his *ensaïmadas* (Mallorcan spiral pastries) go from 25-30 a day in the low season to 150-200 in high season, individual pastries go from 50-60 to 500-600, and at Christmas his kitchen turns out between 7,000 and 8,000 bars of turrón (almond nougat). It's a European example, but the message underneath applies to your rosca: a peak multiplies production by 5 to 10 times, not by 1.5, and planning it as an ordinary day with a few more customers is the fastest way to come up short or to throw product away.

The size of the occasion is no reason to relax either. In the US the rosca shares its season with the king cake, which runs from Epiphany (January 6) to Mardi Gras, and US searches average about 90,500 a month for "rosca de reyes" and 110,000 for "king cake" (DataForSEO, October 2026). That's interest, not units sold, but it tells you customers go looking for the occasion. If you also offer a filled rosca, with whipped cream or chocolate truffle, that pulls part of your production toward the version that's hardest to hold, as you'll see below. And the competition doesn't come only from other bakeries: the supermarket in-store bakeries and the chains near you chase the same occasion, so check what they charge before you set your price. With them on the shelf, there isn't much room to get the quota wrong out of excess caution either.

The Options on the Table

You have three ways to approach the quota for the big campaign:

- **Option A, made to order with a booking deadline.** The customer orders and pays (or leaves a deposit) before a cut-off date, and you bake exactly what's been ordered. Zero waste, but it takes customers who trust you enough to order ahead, and if your message about the deadline doesn't get through, people are left without a rosca on the key day.
- **Option B, a fixed quota sold over the counter until it runs out.** You bake a set number and sell it at the counter until it's gone. It serves the customer who decides on the spot, but all the risk of getting the volume right is yours: overshoot and the waste is yours; fall short and so is the lost sale.
- **Option C, a mix of the two.** You set aside one quota for orders and keep another fixed quota for the counter. It splits the risk between the two: you cover the loyal demand that orders in good time and leave room for last-minute sales, without committing all your production to a single route.

What changes from one option to another isn't only the risk of waste. The cash you put up front for ingredients changes too (ordering ahead lets you buy against firm orders, while a fixed quota you buy against a forecast), and so does the need for extra staff on the heaviest production days, which exists in all three options but gets sized differently depending on how much you know in advance.

The Criterion You Decide By

The rule is simple to state and demanding to apply: the quota is set by your production kitchen's real capacity on those specific days, not by commercial ambition or by what you'd like to sell. First you work out the daily deficit (the gap between what the market would ask of you and what your current team can turn out), and then you decide which lever covers it: extra staff, widening the order option to spread production over time, or accepting a lower quota and taking it as year one's limit.

The second criterion is about cash, and it weighs as much as the production one. The campaign's ingredients are bought weeks before you get paid for them: flour, butter, candied fruit and, if you sell filled roscas, the cream or truffle filling pile up in your storeroom while the money from those sales still hasn't reached the register. If you can't finance that gap without choking, the quota has to come down even if the market's demand would allow more.

Like every decision in this bonus, this one closes with an explicit recommendation and the condition that would change it: if your team can be stretched with short-term extra staff without putting your cash at risk, the quota goes up to the limit set by the reinforced kitchen's capacity; if the extra staff doesn't pay or your cash can't carry the up-front ingredient purchase, the quota stays at what the current team produces on its own, and the rest of the demand goes to the order option with its booking deadline.

The Cell That Settles It

The "Peak Capacity vs Demand" sheet in seasonal-peaks-planner.xlsx is the one that answers the question with concrete numbers. For the Three Kings Day campaign, that sheet gives a demand of 2,856 pieces a day, a real team capacity that leaves a deficit of 1,656 pieces a day, and it tells you that baking the whole demand (less the 60 pieces you can make ahead) would take 47.4 kitchen hours a day, against the 20 the case already runs during the campaign. That number of hours is what turns a sales problem into a staffing problem: no pastry shop that's just starting out has a team that can put in 47.4 kitchen hours in a single day, so the real decision isn't “how much do I sell?” but “how much do I cover with extra staff, and how much do I send to orders?”

The same workbook, on the "Extra Staff and Cash" sheet, puts a price on the part you decide to cover with extra hands: $1,603.74 of extra staff for the campaign, and $2,079.04 of cash tied up in ingredients while you wait to get paid. That tied-up cash is, in practice, the second criterion turned into a number: if your financing can't cover that $2,079.04 without squeezing the rest of the month, the quota comes down before you touch a single production figure. And on the other side is the reward: the campaign brings in $12,000 of incremental sales before sales tax, the figure that justifies taking on the cost of the extra staff and the tied-up cash if your kitchen can hold the pace.

The calendar of dates and tasks for each campaign (when to start announcing orders, when to close the booking deadline, when the extra staff comes in) belongs in your annual task calendar and your daily task checklists, outside this pack: here you settle the volume decision, not the operating schedule for carrying it out. And if your extra hands are high school students on winter break, remember chapter 14 of the guide: under 16 they can't bake, and under 18 they can't run the mixers or the dough sheeter.

The Rule That Applies, When There Is One

Here no rule caps how many pieces you can bake for the big campaign: the ceiling is set by your kitchen, not by the law. But there is a rule on how you get ahead with cold, which is the most common lever for spreading out over time what the counter will ask for all at once. Cooked TCS food, such as pastry cream or a custard base, has to cool from 135 °F to 70 °F within 2 hours and down to 41 °F within a total of 6 hours (Food Code 3-501.14; checked in October 2026): that's the blast chiller's job, not a chest freezer's. And every batch you freeze ahead goes out with three dates on its label: the day it was made, the day it went into the freezer and the use-by date you set in your own food safety plan. In the

US that label is a house practice, not a federal rule, but it's what keeps your date marking honest, since ready-to-eat TCS food held refrigerated for more than 24 hours has to be date-marked and can be held at 41 °F or below for no more than 7 days, with the day it was made counting as day one (Food Code 3-501.17).

And there's a second limit that overrides any production plan, whether you freeze or not: a rosca filled with whipped cream or chocolate truffle isn't shelf-stable, and it has its own holding ceiling, 41 °F or below (Food Code 3-501.16). In the modeled case, in fact, the "Egg & TCS Decision" sheet in opening-menu-and-recipe-costing.xlsx puts the rosca in the refrigerated case. If that many roscas don't fit in your refrigerated display case, you don't bake that many, however much demand the "Peak Capacity vs Demand" sheet is showing you. The cold capacity of your display case is, together with kitchen hours, the second physical limit that decides the campaign's final quota.

Capacity against demand in the six campaigns (seasonal-peaks-planner.xlsx, "Peak Capacity vs Demand" sheet)

Campaign	Campaign days	Pieces demanded per day	Capacity during the campaign	Daily deficit	Pieces you can make ahead	Can you handle it?
Día de Reyes (Three Kings Day)	5	2,856	1,200	1,656	60	No
Valentine's Day	2	857	600	257	20	No
Mother's Day	4	904	600	304	20	No
Easter (Holy Week)	8	1,142	840	302	40	No
First Communions and graduations	20	762	600	162	0	No
All Saints' Day and Día de los Muertos	3	1,238	960	278	40	No

The campaign factors are model assumptions calibrated with published cases. What you can't get ahead on with cold is what sets the real ceiling on your quota.

6. Taking a First Communion Cake Order with No Track Record

The Context of the Decision

The First Communion and graduation season isn't a three-day peak: it's a plateau of 20 campaign days, spread from mid-April to mid-June, and in year one it arrives while the production kitchen is still breaking in, with a team that's just been trained and routines that haven't settled. Over those 20 days you don't just produce more, you also tie up cash: there are 55 days in which that campaign's money sits idle, between the ingredients you've bought, the extra staff you've paid and the payment that hasn't come in in full yet. Adding staff to carry that plateau costs $801.87, and that number isn't a whim of the spreadsheet: it's what gets expensive when nobody decided in time how many orders to accept.

The first big First Communion order is almost always accepted out of excitement (someone asks for a large cake, with lots of servings, for a very specific date) and it gets made at night, once the rest of the day's production has already gone out. What you have to decide before you say yes isn't whether you can make that cake: it's how much of it fits without blowing up everything else already promised for that day.

The Options on the Table

You need to have picked your model before the phone rings with the first First Communion order, because the three options don't compete for the same reason:

- Option A: accept everything that comes in, with no quota and no screening. It's the most exciting in the short term and the one that eats the most nights in the kitchen.
- Option B: accept up to a fixed daily quota, set by the team's real capacity and not by how eager the customer is to book.
- Option C: accept only items that are already on your menu with a cost card done, turning down the special order that asks for something you've never made.

What changes among the three isn't the income on the day of the order: it's what it drags into the next day. The kitchen hours committed at night change, the risk of the customer canceling at the last minute changes, and so does the waste left over if, in the end, they don't come to pick up the cake.

The Criterion You Decide By

With no track record (and a pastry shop's first year is, by definition, without one) the rule has two legs. The first: you accept what fits in the production kitchen's capacity on THAT day, with the equipment you've already bought. The modeled case's set of equipment allows 480 pieces on a normal 8-hour kitchen day (600 during this campaign, when the "Peak Capacity vs Demand" sheet runs the kitchen 10 hours a day), and neither the excitement of a big order nor the customer's insistence moves that ceiling. The second: you only accept items that already have a cost card. No cost card means no price, and no price means what you're handing over is a gift dressed up as an order.

The second criterion, besides the quota, is the deposit. It isn't an administrative formality: it covers the cost of the ingredients if the customer never comes back, and along the way it filters out the one who has no real intention of picking up the cake. The modeled case assumes a 30% deposit at booking (it's noted on the custom-orders row of the "Channels and Break-Even" sheet): that's the model's assumption, not a standard. A big order without a deposit is, in practice, betting that everyone keeps their word on a Saturday in May with the kitchen running flat out.

To calibrate how much quota and how much extra staff make sense on the First Communion and graduation plateau, there are two figures you read together: the custom-order channel's contribution margin is 68%, on that channel's annual sales of $45,108. With that margin in front of you, you know whether it's worth pushing the quota a little beyond what's comfortable, or whether the campaign's extra staff already pays for itself with what comes in, without squeezing any harder.

The Cell That Settles It

The numbers behind this decision are spread across two workbooks. The "Extra Staff and Cash" sheet in seasonal-peaks-planner.xlsx gives the days the First Communion and graduation campaign's cash sits idle and the cost of adding staff on those days. The "Channels and Break-Even" sheet in 3-year-financial-plan.xlsx gives the custom-order channel's contribution margin and what that channel sells in a year, which is what lets you compare whether the extra staff pays or not.

With those two figures in front of you, the recommendation is Option B: a fixed daily quota based on the production kitchen's real capacity, to be reviewed only once you have a track record of your own covering at least one full First Communion and graduation season. The condition that would change it: if the custom-order channel's contribution margin fell, consistently, below what it costs to carry the plateau's extra staff, then protecting yourself with Option C (only menu items you've already costed) weighs more than forcing the sales of Option A.

The order form and the order log, with their own schedule, don't need inventing here: they belong with your daily task checklists, outside this pack, and that's where you write down the day's quota, the deposit taken and the pickup date of each First Communion order.

The Rule That Applies, When There Is One

Here no rule decides your deposits or your cancellations: they're house policy, and they have to be in writing before you accept your first order, not negotiated in the heat of the moment with the customer standing at the counter. For reference, many US bakeries that publish their policies ask 50% to hold the date, often non-refundable; that's common practice, not law, so check your state's consumer rules on non-refundable deposits before you print yours.

What does apply is the allergen information on the order, exactly as in any sale to the public. Under the 2022 Food Code, the permit holder has to notify customers in writing of the major food allergens that are ingredients in unpackaged food (3-602.12(C); checked in October 2026), and there are nine of them since sesame joined the list on January 1, 2023: write the customer's allergies on the order form and tell them, in writing, which major allergens the cake contains. A cake you box ahead and sell ready-made counts as packaged food and carries the full label (common name, ingredients by weight, net quantity, your name and address and the source of each major allergen, 3-602.11(B)). And don't promise “gluten-free” on a cake from a kitchen that works with wheat flour all day unless you can stand behind it: it has a federal meaning, under 20 ppm of gluten (21 CFR 101.91). Your inspector enforces your state's adopted edition of the Food Code, so check which one applies to you.

The date you made the cake matters too. A First Communion cake with a cream or custard filling is a TCS item: it's held at 41 °F or below (Food Code 3-501.16), and in the modeled case the "Egg & TCS Decision" sheet puts the strawberries & cream cake, this campaign's star, in the refrigerated case. If it's kept refrigerated for more than 24 hours, it has to carry a date mark, with 7 days at 41 °F as the ceiling and the day it was made counting as day one (3-501.17); that legal limit isn't its shelf life, which is the one you declare in your own food safety plan. For a First Communion order, that makes the date you made the cake part of the order, not a habit: write it on the order form and on the box, and plan the bake around the pickup date, not the other way round.

The cost and the cash of each campaign (seasonal-peaks-planner.xlsx, "Extra Staff and Cash" sheet)

Campaign	Extra staff	Extra staff cost ($)	Campaign ingredient purchase ($)	Days the cash sits idle	Incremental result ($)
Día de Reyes (Three Kings Day)	3	$1,603.74	$2,079.04	47	$8,300.62
Valentine's Day	0	$0.00	$102.18	23	$564.76
Mother's Day	1	$213.83	$442.48	25	$462.83
Easter (Holy Week)	1	$534.58	$478.58	36	$2,998.46
First Communions and graduations	1	$801.87	$515.71	55	$356.55
All Saints' Day and Día de los Muertos	2	$641.50	$239.00	31	$1,169.16

The First Communion and graduation plateau is the campaign with the most days of idle cash in the year: you buy early and get paid late.

7. Your First Wholesale Account: What Price, and When Your Permit Changes

The Context of the Decision

Your first wholesale account turns up on its own, without your looking for it, and it feels like free money: a fixed order every week from the café down the street, with no need to put a single extra piece in the display case and none of the display-case waste that eats into the counter's margin. You agree, you deliver and you get paid, and it feels as if that volume comes practically free out of the same production kitchen you've already built.

What you don't see on day one are three things. The first: the price you give that café is lower than your price at the counter, because it buys volume and doesn't pay for your display case, so the margin takes a hit. The second: payment stops being cash at the counter and becomes payment on terms, as the European example in chapter 17 of the guide shows (Matias's trade splits into 95% direct sales and 5% sold on credit at 30 to 60 days; Spanish press, November 21, 2025). The third, the one that changes the business: selling to other businesses can, past a certain line, take you out of the FDA's retail food establishment exemption and into federal food facility registration, with paperwork you didn't have the day before you said yes to that first account. Your local food permit stays; what changes is everything that gets added on top of it.

The Options on the Table

There are three roads, and none of them is automatically the right one:

- Option A: don't open the channel. You sell only to consumers, in your own shop, and supplying other businesses stays out of the plan.
- Option B: open the channel with a deliberate cap, set by you, that keeps you well below the line that brings FDA registration into play.
- Option C: open the channel with no cap, accept that wholesale may become the larger share of your sales, and take on the FDA food facility registration that comes with it.

None of them is free. A gives up a steady volume that fills dead hours in the kitchen. B means keeping count of how much you supply each week so you don't cross the line without noticing. C takes on more paperwork in exchange for being able to grow the channel without an artificial limit.

The Criterion You Decide By

The usual mistake is to look at the channel's gross margin and compare it with the counter's. That's not the right criterion: a channel is judged by its contribution margin, not its gross margin, because what matters is how much that order contributes to covering the kitchen's fixed costs once you've taken off what it costs to serve it. And the question that really settles the decision is a different one: what happens to break-even if I take that channel away? If break-even drops when you remove it, the channel is subtracting: it forces you to sell more every month to reach the same zero profit, and keeping it doesn't make up for the volume it brings.

The second criterion isn't about margin, it's about risk. A single large customer in this channel concentrates both payment and volume in one signature: if that café closes, switches suppliers or stretches its payment terms, you feel the blow all at once, not little by little as at the display case, where the risk is spread across dozens of customers who pay on the spot. And one account of a very different size from the rest, a hotel or a chain, can tip the FDA's 50% line on its own.

With those two criteria on the table, the default recommendation is option B: open the channel, but with the cap set and watched. That recommendation changes if break-even without the channel turns out higher than with it (then the channel contributes and deserves to grow with no cap, option C), or if the channel's weight in your sales shoots up on the back of a single customer, because then the concentration risk weighs more than the margin.

The Cell That Settles It

The "Channels and Break-Even" sheet in 3-year-financial-plan.xlsx brings the numbers you need to decide with your own data: this channel's contribution margin, 49%; wholesale's weight in total sales, 5%; and monthly break-even in both versions, with all channels open ($23,337.56) and without wholesale ($23,018.22). Since break-even goes up when you add the channel (from $23,018 to $23,338 a month), by the criterion above this channel subtracts: it forces you to sell $320 more each month to reach the same zero. That the recommendation is still option B, and not A, comes from the second thing this decision measures: wholesale fills dead kitchen hours you're already paying for, and with the cap in place that use of capacity makes up for the $320. Without a cap, the math changes sign.

To know whether the cap you set keeps you clear of FDA registration, the "Selling Wholesale" sheet in permits-and-licenses-checklist.xlsx runs the three checks with your own figures and your own accounts, one by one: the share of your food sales by value that goes to businesses, the delivery radius you can hold at 41 °F, and the labels each account gets.

The Rule That Applies, When There Is One

Here there is a rule, and you need to know it before you sign that first account (checked in October 2026). FDA food facility registration exempts retail food establishments (21 CFR 1.226(c)), and the line that keeps you one only comes into play when you sell food you make to other BUSINESSES, meaning cafés, restaurants, specialty food stores or caterers that aren't yours: a pastry shop that only sells to consumers, at its counter, by custom order or online, isn't affected, however you look at it. Once you sign with that café, you're in, and the "Selling Wholesale" sheet puts you through three checks at once: the FDA line, the cold chain and the labels. Only the first one decides whether you register with FDA; the other two don't change your permit, but they're what your accounts and your inspector expect.

The FDA line can be measured two ways, and one is enough, because both measure the same thing (21 CFR 1.227): either the share of your food sales that goes to businesses stays below half (the sheet seeds a cautious working line of 25%, our own, not the law's, so you see the legal 50% coming long before you reach it), or, in dollars, what consumers buy from you in a typical week stays above what businesses buy that same week. Businesses never count as consumers, however small they are, and what counts is value over the whole year, not kilos or one good week, so check it with your POS figures and your invoices. The cold chain is the second check: every TCS item you deliver has to arrive at 41 °F or below (Food Code 3-501.16), and the maximum delivery radius you type into the sheet, in miles, is your own figure, not a legal one.

The check that breaks most easily is the third one, labels: a single account without them is enough to fail it. Packaged items need the full label (common name, ingredients by weight, net quantity, your name and address, and the source of each major allergen, Food Code 3-602.11(B)), and unpackaged items need an allergen sheet so the café can give its own customers the written notice the Food Code asks for (3-602.12(C)). And once the channel is open, the paperwork isn't optional: keep a record of each account (what you supplied, how much and when), which is your proof that you're still on the retail side of the line, and ask your CPA about resale certificates for what your accounts resell. Wholesale also takes a licensed kitchen: outside the cottage food exceptions a few states allow (chapter 9 of the guide),

you can't supply cafés from home. Two state notes: in New York, the Article 20-C license already covers wholesale bakery operations; in Florida, ask FDACS whether your volume calls for its Wholesale/Manufactured Food Establishment Permit.

The four channels and what each one leaves you (3-year-financial-plan.xlsx, "Channels and Break-Even" sheet)

Channel	Steady-state year sales ($)	Share of sales (%)	Gross margin (%)	Contribution margin (%)	Days to collect
Counter	$251,314	78%	68%	68%	0
Custom orders	$45,108	14%	70%	68%	0
Wholesale (local cafés and restaurants)	$16,110	5%	52%	49%	45
Online and shipping	$9,666	3%	60%	51%	0
TOTAL	$322,198	100%		67%	

The weight of the wholesale channel comes from a published case (the European example above: 95% direct sales, 5% on credit); the rest of the split is an assumption of the modeled case.

8. Hire a Pastry Cook or Lean on an Assistant

The Context of the Decision

The production kitchen doesn't run itself. The moment the owner steps out to deliver an order, deals with a supplier or simply takes a day off, someone has to keep production going with the same judgment, and that someone has a line of their own on the wage table: it isn't occasional help, it's a position on your payroll. This is where more pastry shop owners go wrong on price, because the temptation shows up on its own: cover the gap with a part-time support hire, because the difference in pay between that profile and a specialist looks small on paper. You make the cheaper offer, and months later you find out that hire doesn't cover what needed covering. Of all the staffing decisions made on price, this is exactly the one made most often.

The Options on the Table

There are three roads, and it pays to put them side by side before you make any offer:

- Option A: hire a full-time production kitchen specialist. They take on production independently from day one.
- Option B: cover the same hours with two part-time support hires. It lowers the cost per head, but it splits the responsibility between two people with less technical experience.
- Option C: hire one support profile full-time, with in-house training so they grow inside the kitchen.

What changes among the three isn't just the number on the paycheck. The annual employer cost changes, the kitchen's real independence when the owner isn't there changes, and so does the risk of the whole business depending on a single person who one day may go on leave or quit.

The Criterion You Decide By

The right comparison isn't pay against pay: it's employer cost against employer cost. Payroll taxes, workers' comp and benefits on top of pay (the case budgets 33%: roughly 10 points of payroll taxes and workers' comp, and the rest benefits; the case keeps workers' comp inside it even though Texas lets private employers opt out) aren't a token percentage: they can reverse an order that looked obvious from the paycheck alone. And there's a second twist: you compare by kitchen hour actually covered, not by head hired. Two part-time contracts add up to the same hours as one full-time contract on paper, but the employer cost of two contracts isn't simply half of one each: federal unemployment tax (FUTA) applies to the first $7,000 of EACH employee's pay, and your state's unemployment tax has its own per-employee wage base ($7,000 in California, for example), so two hires pay that base twice where one pays it once. That's where option B loses part of its initial appeal.

The second criterion, and the one that decides in practice, is about coverage, not cost. An early bake shift in a production kitchen is continuous: it starts at a set time and has to be held from start to finish. Two part-time schedules fitted together almost always leave a seam, a moment in the schedule when no specialist is standing at the oven, and you notice it in the day's production before you notice it in the month-end payroll. If the schedule doesn't close, option B's savings are only on paper.

The Cell That Settles It

You don't have to estimate the number: it's already calculated. The "Hours and Cost" sheet in staff-schedule-and-labor-cost.xlsx gives, for each person on the team, the annual employer cost and the employer cost per hour worked, and that's where you truly compare option A against option B. The full-time production kitchen specialist, the Pastry Cook in the Skilled specialists grade, has an employer

cost of $27,469 a year, $15.43 per hour worked. The half-time support profile, the Bakery Assistant in the Support staff grade, costs $11,894 a year, $13.36 per hour worked. Per hour, the gap between the two is $2.07, much smaller than the annual figures suggest at first glance (most of that difference is simply full-time against half-time), and it's exactly that short distance that makes coverage weigh more than savings. The whole team's staff cost, with this structure, comes to $92,776 a year. The "Weekly Schedule" sheet, in the same workbook, is the one that tells you whether, with the option you choose, the schedule is truly covered shift by shift, or whether an early-morning gap is left with no specialist on hand.

With these numbers on the table, the recommendation is option A: a full-time production kitchen specialist carries production without depending on fitting two calendars together, and the difference in employer cost against option B doesn't make up for the risk of leaving a shift uncovered. This changes if your kitchen's real production volume doesn't fill a specialist's full-time schedule: then option C, a full-time support hire with in-house training, starts to make sense, as long as the "Weekly Schedule" sheet confirms that this person, once trained, covers the full shift. The task sheets for each role, with what each person really does on their shift, belong with your daily task checklists, outside this pack, and they're the reference that gives option C's in-house training concrete content instead of a vague promise.

The Rule That Applies, When There Is One

Here there is a rule, and it isn't an industry agreement: in the US nothing sets each role's pay except the legal floor and, above it, the local market. The federal minimum wage, which Texas applies as its own, is $7.25 an hour, $15,080 a year working full time (Department of Labor, 2026). The case's lowest pay grade, Support staff, the Bakery Assistant's, comes to $17,886.30 a year, $8.60 an hour: above the Texas floor, but below the state minimum in California ($16.90), New York ($17.00 in New York City, Long Island and Westchester; $16.00 in the rest of the state) and Florida ($14.00 until September 29, 2026; check FloridaCommerce for the current rate), according to the Department of Labor's state table updated July 1, 2026. Paying it there wouldn't be a cheap option; it would be illegal. Check your city's minimum too, because it may be higher than your state's, and keep the market in view: the national median is $17.86 an hour for bakers (BLS, May 2025), well above the case's whole table.

And two more obligations don't allow shortcuts, whichever option you choose. The first is training: under the 2022 Food Code, the person in charge, a certified food protection manager (2-102.12), makes sure employees are properly trained in food safety, including food allergy awareness, as it relates to their duties (2-103.11(O)), and your state may add a food handler card (in California, within 30 days of hiring, valid for three years; in Texas, an accredited course). That holds for option A's specialist and option B's two support hires just as much as for option C, and it goes on the "Training Log" sheet of permits-and-licenses-checklist.xlsx from day one. The second is age, and it matters for options B and C if you're thinking of a student as your assistant: no one under 16 may do any baking or work before 7:00 a.m., and no one under 18 may operate, set up, adjust or clean a power-driven mixer or dough sheeter (Hazardous Occupations Order No. 11, Department of Labor Fact Sheet #43). In practice, whoever covers the early bake shift has to be an adult.

Employer cost by person and by hour (staff-schedule-and-labor-cost.xlsx, "Hours and Cost" sheet)

Id	Person	Pay grade	Monthly pay for the grade ($)	FTE	Annual employer cost ($)	Employer cost per hour worked ($)
P1	Head Pastry Chef	Management and supervisors	$1,784.86	1.0	$28,486	$16.00

Id	Person	Pay grade	Monthly pay for the grade ($)	FTE	Annual employer cost ($)	Employer cost per hour worked ($)
P2	Pastry Cook	Skilled specialists	$1,721.14	1.0	$27,469	$15.43
P3	Bakery Assistant	Support staff	$1,490.53	0.5	$11,894	$13.36
P4	Counter Associate A	Qualified staff	$1,561.78	0.5	$12,463	$14.00
P5	Counter Associate B	Qualified staff	$1,561.78	0.5	$12,463	$14.00
TOTAL for the team				3.5	$92,776	

The wage table is the modeled case's example, not a legal schedule or a survey of US pay: monthly pay over 12 pay periods, which clears the $7.25 federal minimum that applies in Texas and would be below the state minimum in California, New York and Florida. Replace it with what you'll really pay. The cost per hour divides the employer cost by 1,780 hours actually worked a year (after paid time off and holidays) per full-time position. Checked in October 2026 against the Department of Labor's state minimum wage table (updated July 1, 2026).

9. Open in September or in February

The Context of the Decision

Everybody wants to open as soon as possible. It's the question that comes up most in any pastry shop project: when are we opening? And it's the wrong question, because you don't choose your opening date: you calculate it. It's the result of chaining milestones together (the space, the build-out, the permits, the equipment, the hiring), each with its own duration and its dependence on the one before, and the month the last domino falls is the month you open, not the one you'd have liked.

What is a decision, and one that moves the whole project, is when you start. Starting in one month or the next shifts the whole opening month, because every later milestone is recalculated from that first day. Deciding your start date is, in practice, deciding your opening date several months ahead, before you've even signed the lease.

The Options on the Table

There are three ways to approach the calendar, and you need to have them straight before you sign anything:

- **Option A - start now and open whenever it falls.** It's the most common because it's the most comfortable in the short term: you sign the lease, start the build-out, and your opening date is whatever the lead times add up to. The risk is that the date lands where it hurts you, without you having decided it.
- **Option B - work backward from the month you want to open.** You set the target month first and subtract the project's total duration to know when you have to start. It's the option for someone who already knows they want to open with room to spare before the big peak.
- **Option C - push the opening back on purpose to reach the big peak already broken in.** Instead of opening right before it, you leave a bigger cushion, so you've tested the schedule and the production with real customers before the sales peak arrives.

What changes among the three isn't only the date on the calendar: it's the months of rent you pay before you've sold anything, the pressure on a team that's breaking in its processes the same day you unlock the door, and the cash in the first quarter, which starts from zero in all three options but doesn't reach the next peak equally rested.

The Criterion You Decide By

The rule that sits above all three options is simple to state and expensive to skip: you don't open inside a peak. Breaking in new equipment, a new team and new suppliers on precisely the days of the year with the most production piles up three risks at once (machines that haven't been run in, a team that doesn't yet coordinate its shifts and suppliers who don't yet know your ordering rhythm), just when you have the least room for anything to go wrong. The "Share of the Year" sheet in seasonal-peaks-planner.xlsx puts the big peak, the Three Kings Day campaign, at 3.7% of the year's sales packed into five days, and the month that holds it, January, at 11.2%: it's the business window you should least risk on a launch.

The second criterion, once opening inside a peak is ruled out, is about shakedown: you have to leave enough room between opening day and that big peak to have tested the shift schedule and the kitchen's real production capacity with actual orders, not with the forecast on paper. Opening too close to the peak is trading one risk for a smaller one, but it's still a risk.

The Cell That Settles It

You don't decide this by eye. The "Timeline and Critical Path" sheet in permits-and-licenses-checklist.xlsx chains the project's twelve milestones, marks which ones have no slack (that is, which ones push back your opening if they slip) and, with that data, calculates the total project duration, the opening month and whether that month falls inside a peak. In the modeled case, the total duration is 8.5 months, with 11 of the twelve milestones carrying no slack at all, and the calendar month that schedule opens in is month 9, September: outside the big peak and with room to break in before it. Change the start month on that same sheet and you'll watch the whole opening month move, milestone by milestone. Try it: start the same 8.5 months in June instead of January and you open in February, the month of Valentine's Day, and the sheet warns you that you're opening inside a peak.

Within those twelve milestones, the build-out and the plan review and building permit are the ones in charge: they're on the critical path, and any day they move, your opening moves with them. Equipment is the only milestone with slack (one month), and only because you order it in parallel with the build-out; its longest lead time is nine weeks, and that comes from the pack's equipment-and-suppliers-checklist.xlsx, not from a generic estimate. The day you order it late, it becomes critical path too. That's where to look first when the calendar gets tight, and in particular at the roll-in retarder-proofer, which in the modeled case is the item with the longest lead time on the whole order.

The recommendation, with its condition for change: start from the opening month the timeline sheet gives you and don't force it earlier just to open sooner; move it only if, when you recalculate the critical path with your real start date, it still falls outside the peak and with enough shakedown room. If the new calculation puts you inside the big peak, it's the start date you move up, not the opening date.

The Rule That Applies, When There Is One

Here no rule decides which month a pastry shop can open in: the date is a calendar decision, not a permit. But there are timelines you don't control, and they go into the countdown as milestones in their own right. How long plan review and the building permit take depends on your own county and city, and sending in your food permit application doesn't let you open on its own: the permit is issued after plan review and the pre-opening inspection (Food Code 8-201.11 and Part 8-3; checked in October 2026), and building and health are two separate tracks. The only legal clock anywhere near this timeline is California's, where the health department has 20 working days to review your plans or they're deemed approved (Health and Safety Code §114380). In Florida, FDACS asks you to apply 21 days before you open, the inspector calls within 3 to 5 business days and the inspection typically happens within two weeks.

And there's one fixed date you do need to keep in view, though it isn't a rule: Easter moves every year. The timeline sheet carries Easter (Holy Week) in April, but in 2027 Easter Sunday falls on March 28, so Holy Week lands in March. If you're weighing a February opening, that peak arrives only weeks after Valentine's Day, not months; check that year's date and change the month on that row before you trust the sheet's warning.

The twelve milestones and their critical path (permits-and-licenses-checklist.xlsx, "Timeline and Critical Path" sheet)

ID	Milestone	Duration (months)	Depends on	Ends (project month)	Slack (months)	Critical path?
M1	Site search and screening	2.0	-	2.0	0.0	Yes

ID	Milestone	Duration (months)	Depends on	Ends (project month)	Slack (months)	Critical path?
M2	Lease signing and security deposit	0.5	M1	2.5	0.0	Yes
M3	Stamped plans and specifications	1.0	M2	3.5	0.0	Yes
M4	Plan review and building permit	1.5	M3	5.0	0.0	Yes
M5	Build-out and installations	2.0	M4	7.0	0.0	Yes
M6	Order and delivery of equipment	2.5	M3	6.0	1.0	No
M7	Equipment installation and start-up	0.5	M5	7.5	0.0	Yes
M8	Pre-opening inspection and food permit	0.5	M7	8.0	0.0	Yes
M9	CFPM, food handler cards and food safety plan	0.5	M7	8.0	0.0	Yes
M10	Hiring and payroll setup	0.5	M7	8.0	0.0	Yes
M11	Production trials and final opening menu	0.5	M8	8.5	0.0	Yes
M12	Opening	0.0	M11	8.5	0.0	Yes

Durations are planning assumptions. How long plan review and the building permit take depends on your county and city, and it's the duration that varies most.

10. Starting Legally from Home: What You Can and Can't Sell (Cottage Food)

The Context of the Decision

This is the most common way into the trade. You start by taking custom orders from your own home, customers find you through messaging apps and social media, and at some point the volume makes you think about doing it by the book. The real fear isn't the paperwork itself: it's finding out, with a customer base already built, that what you've been selling for months isn't on the list of what can be made in a home kitchen. That's the question to answer before you fill in a single form, and the answer changes depending on where you live: in the US, cottage food is state law, and each state writes its own.

The Options on the Table

There are three roads, and they aren't interchangeable. Option A is to set up your home kitchen under your state's cottage food law (a registration, a permit or nothing at all, depending on the state) and fit your product list to what that law lets you make at home. Option B is to move up to a commissary or shared kitchen, which frees you from the home limits but adds rent: WebstaurantStore puts the typical rental at $250 to $750 a month, and $1,000 to $1,250 in Manhattan or Los Angeles. Option C is to jump straight to a small storefront with its own retail food permit. What changes among the three is the startup investment, the products you can sell, the channels you can sell them through and the ceiling on how much you can make and sell.

The Criterion You Decide By

The golden rule is this: first you check whether your product is on your state's list, and only then do you do the paperwork. Doing it the other way around means registering a business you'll then have to cut back, with customers already used to a lineup you won't be able to keep. The second criterion is about growth, not legality: baking at home comes with a ceiling you can't negotiate, your state's annual sales cap, so if your plan is to really grow, home is a stage, not a destination.

The Cell That Settles It

The "Cottage Food Route" sheet in permits-and-licenses-checklist.xlsx gives you three checks for this decision. The first is a weekly volume ceiling: 100 kg (about 220 lb) a week for a home kitchen, our own ceiling, not the law's, and the sheet's home example works with 60 kg (132 lb) a week, well under it. The second is volume in proportion to your kitchen's usable space: the example uses 129 usable square feet with a house criterion of 0.74 kg per usable square foot a week (ours, not the law's) and comes out at 0.46, comfortably under, so the space you actually have limits your production as much as any cap. The third check isn't a number, it's the law, and it's the one people miss: sales records that prove you're under your state's cap. In 2026 that cap is $88,878 (Class A) or $177,756 (Class B) in California, $150,000 in Texas and $250,000 in Florida, where every sale counts; New York's page lists no cap. Saying you're under isn't enough: you have to be able to show it.

To compare the cost of each road, there's the "Format Variant" sheet in startup-cost-calculator.xlsx: the home-based bakery variant comes to $14,966 of opening investment, the figure to set next to what a commissary or a small storefront costs before you decide. For contrast, third-party estimates put a home-based bakery at $15,000 to $25,000 and an online bakery at $20,000 to $40,000, against $50,000 to $100,000 and up for a small retail bakery (Zenind, 2026); they're estimates with no line-by-line breakdown you can check, not industry data. And under cottage food you mostly sell direct to consumers, and what you file is a registration, a permit or nothing at all with your state or county,

depending on the state, not the retail food permit a storefront needs.

The recommendation is clear: if your product is on your state's list and your sales sit comfortably under its cap, home is the cheapest way to start. Either of two conditions makes you change roads: your products aren't on the list, or your sales are closing in on the cap and you plan to keep growing. At that point a commissary (option B) or your own storefront (option C) stops being an expense and becomes the only way forward.

The Rule That Applies, When There Is One

Here there is a rule, and it's your state's, not a federal one. What decides what you can sell from home is your state's list, and the four example states write it very differently: California allows only foods on its Approved Cottage Food List (non-potentially hazardous foods); Texas allows any food that isn't on its exclusion list; New York has a closed list (breads, muffins, cookies, brownies, scones, double-crust fruit pies, simple cakes); and Florida allows cottage food products that don't need time and temperature control. By default, then, only shelf-stable baked goods qualify, and a strawberries & cream cake does NOT, because cream fillings need refrigeration. In California, New York and Florida it stays out; in Texas, since September 1, 2025 (Senate Bill 541), it can go in if you register with DSHS, label it with the production date and safe-handling instructions and deliver it at 41 °F or below. Texas opened that door by law in 2025, and a state can change its list from one year to the next, which is why your state's own page, not a summary, is what you check every year.

The channels are a separate question from the product list, and states close them differently too. Wholesale to cafés, shops and restaurants is closed outright in Florida, allowed only for non-TCS items sold to a registered cottage food vendor in Texas, only with a Class B permit in California, and allowed within the state in New York. Shipping by mail or courier is fine in California and Florida; in Texas, only if you, an employee or a household member delivers; in New York, only within the state, and selling across state lines is closed there. California adds a cap on staff: one full-time employee who isn't family. And the label is part of the law: in Texas, word for word, "THIS PRODUCT WAS PRODUCED IN A PRIVATE RESIDENCE THAT IS NOT SUBJECT TO GOVERNMENTAL LICENSING OR INSPECTION.", plus allergens; in New York, "Made in a Home Kitchen"; in Florida, "Made in a cottage food operation that is not subject to Florida's food safety regulations."

You outgrow cottage food when you pass your state's sales cap, want to sell items your state excludes (in most states: cream fillings, custards, cheesecake, meringue), want to wholesale where your state forbids it, want to ship out of state or want a storefront with a display case and staff. Then you move to a licensed kitchen, and the paperwork moves with you: in California, a food facility permit from the county; in Texas, a retail food establishment permit from your local health department or DSHS; in Florida, an FDACS food permit; and in New York, your home processor registration becomes void once you open a licensed business, because everything has to be made in the commercial facility. None of this is a promise that you're fully compliant just by reading it: it's the map with the exact rules, and the numbers you compare your own case against on the "Cottage Food Route" sheet.

What you can sell from home, state by state (permits-and-licenses-checklist.xlsx, "Cottage Food Route" sheet)

State and what you can sell	What's out
California (CFO): only foods on the Approved Cottage Food List (non-potentially hazardous foods)	Anything off the list: cream fillings, custards, cheesecake. Class A sells direct only; Class B also through shops and restaurants.

State and what you can sell	What's out
Texas (CFPO): any food not excluded; cream cakes and cheesecake (TCS) with DSHS registration since September 1, 2025	Meat and poultry, fish and shellfish, ice, ice cream and frozen custard or gelato, low-acid canned foods, CBD or THC products, raw milk.
New York (home processor): a closed list: breads, muffins, cookies, brownies, scones, double-crust fruit pies, simple cakes	Cheesecake, cream-filled pastries, cream and meringue pies, custard, single-crust pies, homemade buttercream or cream cheese frosting.
Florida (§500.80): cottage food products that don't need time and temperature control (non-TCS)	Foods that need refrigeration (TCS); check the FDACS guidance item by item.
Other states: cottage food is legal in all 50 states, each with its own list	Nothing by default: this row stays empty until you look up YOUR state's cottage food page, before you bake to sell.

Checked October 2026 · California CDPH (2026 sales caps), Texas DSHS (Cottage Food Production Operations, SB 541, in force since September 1, 2025), New York Agriculture and Markets (home processing) and the 2026 Florida Statutes, §500.80 · https://www.dshs.texas.gov/foodestablishments/cfpo

11. Shipping and Delivery: Which Products Travel and Which Don't

The Context of the Decision

Shipping looks like the cheap way to widen your market without opening another shop: no takeover, no second lease, no second team. In a pastry shop that promise runs into physics before it runs into the law. The right question isn't whether you can sell online (you can, and selling online to consumers keeps you under the same retail food permit), but which specific item on your menu reaches the customer's door in good shape. It isn't the same decision for a cookie as for a cream-filled cake, and treating shipping as a single channel, without looking item by item, is the mistake that drags down every other choice in this decision.

The Options on the Table

There are three roads, and you have to look at all of them without ruling any out too early:

- Option A: ship only shelf-stable product (dry viennoiserie, cookies, some cakes with no perishable filling), with ordinary shipping.
- Option B: ship refrigerated product too, with temperature-controlled transport from the production kitchen to the customer's door.
- Option C: ship nothing and use the website only so customers pick up in the shop the order they placed online.

What changes among the three isn't just the menu you can offer: the cost to serve that channel changes, the contribution margin you keep once that cost comes out changes, and so does the risk of a complaint if something arrives lukewarm, melted or late. Option A makes logistics cheaper but cuts what you can sell online down to what survives the trip without a cold chain. Option B opens the whole menu to shipping, but puts a refrigerated carrier on your P&L. Option C removes transport risk entirely, in exchange for giving up sales to anyone who can't come by the shop.

The Criterion You Decide By

The rule that separates what you can ship from what you can't is simple to state and easy to skip: what travels is what holds its holding temperature for the whole trip, not what the box holds up to. A well-insulated box slows the temperature rise, it doesn't stop it, and the clock doesn't stop for the packaging. And there's a second detail that often gets forgotten: the date-mark clock on a TCS item starts when you make it, not when you ship it. Ready-to-eat TCS food held more than 24 hours needs a date mark and can be kept for 7 days at most, with the day you make it as day 1 (Food Code 3-501.17); if the piece has already used up part of that life in the display case or the walk-in before it goes into the box, that time counts all the same.

The second criterion is economic, and it comes after the technical one, because there's no point calculating a margin on a piece that can't travel. The shipping channel's cost to serve eats part of the contribution margin before you see a dollar of profit, so you have to look at it before you set the shipping price you charge the customer, not after. Setting an attractive shipping price without first looking at that cost to serve is the fastest way to sell an order that doesn't pay.

The recommendation, with its condition for change: if your menu carries enough weight in shelf-stable items, start with option A and add refrigerated product (option B) only when order volume justifies hiring temperature-controlled transport; if your menu is mostly filled, refrigerated product, option A leaves out almost everything you sell in the shop, and you have to weigh B from day one, or stay with C in the

meantime.

The Cell That Settles It

The "Egg & TCS Decision" sheet in opening-menu-and-recipe-costing.xlsx sorts the thirty items on the model menu between the refrigerated case and the room-temperature case: fifteen go in the refrigerated case and fifteen in the room-temperature case, and those fifteen refrigerated items are the ones that need a date mark if you hold them more than 24 hours. That same sheet gives you the temperature that rules the filled items: 41 °F. The fifteen refrigerated-case items are the ones to go through one by one before deciding whether they make your shipping menu, because they're the ones with the least room for the trip.

The "Channels and Break-Even" sheet in 3-year-financial-plan.xlsx, for its part, gives you the contribution margin of the online and shipping channel with its cost to serve already taken out: a 51% contribution margin, with a 9% cost to serve inside that math. That's the figure to look at before you set a shipping price below what it really costs to serve the order. And if you sell through a delivery app instead of your own website, its commission comes on top: DoorDash's published merchant plans run 15%, 25% or 30% (6% on pickup orders).

The Rule That Applies, When There Is One

Here there is a rule, and it doesn't require what many people think. Selling online to consumers doesn't put you on FDA's registration list, and it doesn't count toward the wholesale line either: that line only counts what you sell to other businesses. An online customer is a consumer, and if more than half of your food sales, by value, go directly to consumers, at your counter or shipped to their door, you're generally still a retail food establishment (21 CFR 1.227; checked in October 2026). Selling at a distance doesn't take you out of your retail food permit or put you under a stricter one.

What does bind you, with no wiggle room, is temperature: TCS food is held at 41 °F or below (Food Code 3-501.16), and when you ship, keeping it there all the way until it reaches the customer's hands is on you, the seller; frozen product has to arrive frozen. Alongside that comes the information that travels with the product: anything you package ahead and ship needs the full label (common name, ingredients by weight, net quantity, your name and address, and the source of each major allergen, 3-602.11(B)); for a cake you box to order, plan at least on the written notice of the nine major allergens (3-602.12(C)), and ask your health department which of the two your shipped items fall under. We didn't find a US rule that requires all of this on your product page before checkout, the way the EU does; put the ingredients and the major allergens on the page anyway, because an online customer can't ask at the counter. The box, the padding and the cold packs are packaging you choose, and packaging rules are state rules: New York and California ban foam food containers and paper-based food packaging with intentionally added PFAS, while Florida keeps polystyrene rules at the state level (chapter 19 of the guide). And before you ship across state lines: if you're still under cottage food, your state decides whether you can ship at all (New York doesn't allow out-of-state sales, and Texas only allows online sales that you, an employee or a household member deliver; chapter 9 of the guide); with a licensed kitchen, check with your health department before your first out-of-state shipment.

What the egg and TCS sheet tells you (opening-menu-and-recipe-costing.xlsx, "Egg & TCS Decision" sheet)

What it counts	Items	What it's for
Items that need the REFRIGERATED case	15	How many feet of refrigerated case you have to buy is decided by this count, not by taste.

What it counts	Items	What it's for
Items that go in the ROOM-TEMPERATURE case	15	Palmiers, Sachertorte, *huesos de santo*, almond turrón and the breads. They're the ones you can make ahead and the ones that hold up at a peak.
Items that are filled and not shelf-stable at room temperature	13	Cream, custard and mousse fillings: TCS food, held at 41 °F or below (Food Code 3-501.16).
Items whose egg route leaves them needing cold	15	Egg cooked through in an item that isn't shelf-stable, or pasteurized egg product for what doesn't go through heat.
Items both of those apply to	13	Both land on the same 41 °F, so there's no conflict to settle: one ceiling, one temperature.
Items that need a date mark if held more than 24 hours	15	7 days at most, with the day you make it as day 1 (3-501.17). It's the obligation almost nobody keeps track of.
Items with no egg in any form	6	The egg question doesn't apply to them.
Items served with raw or undercooked egg	0	It should come out zero: that's the route for things like soft-cooked eggs, and it calls for a consumer advisory (3-603.11). It's on the list so you know it exists and that it is NOT yours.

Checked October 2026 · FDA Food Code 2022, 3-501.16 (cold holding at 41 °F or below), 3-501.17 (date marking) and 3-603.11 (consumer advisory); your state enforces its own edition · https://www.fda.gov/media/164194/download

12. What to Do with What Doesn't Sell Today

The Context of the Decision

In a pastry shop, what doesn't sell today doesn't wait for tomorrow at full price: the refrigerated case holds 15 items, and all 15 are TCS food that needs a date mark as soon as you hold it past 24 hours, so at closing there isn't much room to think "I'll put it out again tomorrow". In year one that urgency gets worse, because you don't know the demand for each item yet: you order on gut feeling, not on history, and waste runs high while you learn what sells and how much. That learning has a double cost, in two opposite directions: you throw out product that could have sold with a small push, and at the same time you sell product you shouldn't be selling anymore, because nobody decided at what point it stops being fit to offer as is. Both come from the same cause: not having your end-of-day policy written down before you open. Without it, every counter associate improvises their own criterion, and one afternoon's criterion doesn't match the next one's.

The Options on the Table

At closing there are four roads for what's left over, and you have to have them decided in advance, not invented on the spot:

- Option A: throw it out. It's the default for anyone who hasn't decided anything, and the most expensive of the four.
- Option B: sell it at a discount, on a day-old rack or a clearly marked corner of the case or the counter, never mixed in with what was baked that morning.
- Option C: donate it.
- Option D: use it for staff meals.

What changes from one option to the next isn't only where the product physically ends up: the dollars you get back change, the impression of your brand you leave with whoever sees you discount or donate changes, and so do the obligations each road brings with it. Selling at a discount puts the honesty of your signs and a clean POS setup into play; donating brings in the federal protection for food donors and your health rules; staff meals bring in no revenue, but they don't drag any of that along either.

The Criterion You Decide By

The first criterion isn't which of the four options to choose: it's cutting production with data before you have to choose any of them. Waste is measured item by item, not in bulk, because a short-lived cake and a packaged viennoiserie piece don't behave the same way. Only after you've measured does it make sense to decide what to do with what's left over; discounting without measuring first turns the discount into a hidden pricing policy, because you end up always marking down the same items out of habit, not because there's a real surplus.

The second criterion is about price: marking down so you don't throw product out can't spoil the price you charge on your menu the rest of the month. That's why the discount goes on its own rack, with its own sign and its own key on the POS, as the section on the rule explains: the customer reads it as day-old, not as your new price, and your margin figures stay clean.

The average contribution margin per piece on the modeled menu is $1.07; it's the reference you measure against to tell whether a closing-time discount still leaves you a margin or whether you're already giving the product away.

The Cell That Settles It

The modeled case's target waste is on the "Settings" sheet of opening-menu-and-recipe-costing.xlsx, and it's 5%; the served food cost of that same menu already includes it: the ingredient food cost is 17.6%, and the served food cost, with waste and packaging, climbs to 20.3%. The gap between those two percentages is exactly what's going out the back door every night; if your real waste goes over the 5% on the "Settings" sheet, the served food cost you get in practice is higher than the 20.3% reference, and that's where you have to act first, before you decide what to do with what's left over.

To know whether you're on that line or above it, you need each day's figure, not the month's: a daily log of what you made against what you sold, item by item, the kind of record your daily task checklists should carry (outside this pack). Without that log, any decision about the four options is made blind, however good it sounds on paper.

The Rule That Applies, When There Is One

Here there is a rule, though it asks less of a small shop than people fear. Selling product with a cosmetic flaw (a cake that came out a little lopsided, a batch of cookies a size off) at a lower price is fine as long as it's safe, you tell the customer what's wrong with it and you stand behind the sale: we found no rule that forbids it, and the federal donation law itself describes food that's still wholesome but "may not be readily marketable due to appearance, age, freshness, grade, size, surplus, or other conditions". A misprinted box is fine too, as long as what you package yourself still carries the full, readable label (Food Code 3-602.11(B)). What you can't do is pass yesterday's product off as today's: moving yesterday's croissants back into the case under a “baked this morning” sign is a misleading-claim risk (FD&C Act §403(a)). And no discount stretches the date mark: a ready-to-eat TCS item held more than 24 hours is out at 7 days, counting the day you made it as day 1 (3-501.17).

Donating is legal, and federal law has your back. The Bill Emerson Good Samaritan Food Donation Act protects a business that gives apparently wholesome food in good faith to a nonprofit for people in need, free or at a "good Samaritan reduced price", from liability for the food's nature, age, packaging or condition, except for gross negligence or intentional misconduct; since its amendment of January 5, 2023 it also covers some businesses that donate directly to people in need, restaurants, caterers and retail grocers among them (42 U.S.C. §1791; checked in October 2026). It doesn't override your state or local health rules. The food waste rules with teeth are state and local, and the best-known among the four example states, California's, is written for big generators: SB 1383 asks grocery stores over 10,000 sq ft, restaurants over 5,000 sq ft or with 250 or more seats, and other large operations to donate the maximum edible food they'd otherwise throw away, under written agreements and with records. A counter shop the size of the modeled case, 969 sq ft and no seating, falls in neither band. What can reach you in California is organics recycling (AB 1826, triggered since September 2020 at 2 cubic yards of solid waste, counting trash, recycling and organics together): your trim and your unsold product are organic waste, so ask your hauler.

The recommendation, with what would change it: start with option B on the day-old rack, because it gets back more dollars than donating or staff meals and doesn't call for lining up a nonprofit to pick up; move to option C only when what's left over each night is more than that rack can absorb without devaluing the rest of the case; and keep option D for pieces that are still safe but no longer presentable enough for the rack. Anything past its date mark goes in the bin, not to the staff table.

What you can do with what didn't sell, and what each road brings with it

Road	Is it allowed?	On what condition	Basis
Sell with a cosmetic flaw (shape or size)	Yes	It's safe, you tell the customer what's wrong with it and you stand behind the sale	No specific rule found; honesty is the condition (FD&C Act §403(a) for anything you label)
Sell with a misprinted box or label	Yes	What you packaged in the shop still carries the full, readable label	Food Code 3-602.11(B)
Mark down day-old product	Yes	On its own rack, with its own sign and its own POS key; TCS items within their date mark	Food Code 3-501.17 (date marking)
Donate surplus	Yes	Apparently wholesome food, in good faith, to a nonprofit (or directly to people in need, for qualified direct donors); your health rules still apply	42 U.S.C. §1791 (Bill Emerson Act)
Pass yesterday's product off as today's	No	A “baked this morning” sign on day-old product misleads the customer	FD&C Act §403(a)
Sell or donate a TCS item past its date mark	No	Out at 7 days at 41 °F or below, counting the day you made it as day 1	Food Code 3-501.17
Run a formal donation program with written agreements and records	Depends	Only for large generators: grocery stores over 10,000 sq ft, restaurants over 5,000 sq ft or with 250+ seats, among others; the modeled case doesn't qualify by size	California SB 1383 (CalRecycle)

Checked in October 2026. California's edible food recovery rule (SB 1383) reaches only large generators, and its organics recycling rule (AB 1826) depends on how much waste you generate: ask your hauler. The federal protection for donors doesn't override your state or local health rules.

About the Author and Terms of Use

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This bonus is a professional working document, not legal, tax, health or labor advice, and it doesn't replace the stamped plans and specifications your city, your county and your health department will ask you for. The regulatory framework it explains is the US one, and it was checked against official sources (FDA and the eCFR, the Department of Labor, the IRS, the SBA, and the state agencies of California, Texas, New York and Florida) in October 2026: every legal statement carries its rule and section so you can check it and know where to look when it changes. What depends on your city or county (zoning, the noise ordinance, the mechanical code it has adopted, fees) changes from one jurisdiction to the next and is treated here as a question you have to ask, never as a given. The four states in the tables are EXAMPLES: check your state, your county and your city. The square footage, amounts, prices, recipe weights, margins and lead times of the case that runs through this document are example values for a modeled pastry shop in Texas that comes with this pack, and they live in editable cells in the workbooks precisely so you can replace them with your own: none of them is a forecast of your results, an industry standard or a promise of profitability. Before you sign a lease, file for a permit, set the price of an item or hire anyone, check with your city or county, your health department, your CPA and an attorney.